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ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

UNITED STATES

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1970

BASIC STATISTICS OF THE UNITED STATES

THE LAND

Area, Continental United States, plus Hawaii and Alaska (thous. sq.km)	9 363

Population of major cities including their metropolitan areas (1967):	
New York	11 556 000
Chicago	6 771 000
Los Angeles-Long Beach	6 857 000

THE PEOPLE

Population, 1969	203 216 000
Number of inhabitants per sq.km.	22
Population, annual net natural increase (average 1963-69)	1 934 200
Net rate of annual natural increase per 1 000 inhabitants (average 1963-68)	10.4

Civilian labour force, 1969	80 733 000
of which:	
Employed in agriculture	3 606 000
Unemployed	2 831 000
Net civilian immigration (annual average 1963-68)	405 000

PRODUCTION

Gross national product in 1969 (billions of US $)	932.1
GNP per head in 1969 (US $)	4 587
Gross fixed capital formation:	
Per cent of GNP in 1969	14.1
Per head in 1969 (US $)	647

Origin of national income in 1968 (Per cent of national income)	
Agriculture, forestry and fishing	1.9
Manufacturing	26.9
Construction and mining	5.3
Government and government enterprises	20.8
Other	45.1

THE GOVERNMENT

Government purchases of goods and services, 1969 (per cent of GNP)	23.0
Revenue of Federal, state and local governments, 1968 (per cent of GNP)	32.6
Federal Government debt as per cent of cash receipts from the public, fiscal year 1969	195.5

Composition of the 91st Congress, 1969:

	House of Representatives	Senate
Democrats	243	58
Republicans	192	42
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1967	3 200
Consumption of energy per head, 1967 (metric tons of coal equivalent)	9.8
Number of television sets in use per 1 000 inhabitants, 1967	392

Average hourly gross earnings in manufacturing, 1968 (US $)	3.01
Number of passenger cars in use per 1 000 inhabitants, 1967	402
Number of telephones in use per 1 000 inhabitants, 1967	523

FOREIGN TRADE

Exports:

Exports of goods and services as per cent of GNP in 1968	5.8
Main exports 1968 (per cent of US merchandise exports):	
Machinery	25.2
Transport equipment	17.1
Food and live animals	11.4
Crude materials (inedible)	10.4
Chemicals	9.6
Other manufactured goods	11.5
All other	14.8

Imports:

Imports of goods and services as per cent of GNP in 1968	5.6
Main imports 1968 (per cent of merchandise imports):	
Food, feeds and beverages	15.9
Industrial supplies and materials	42.6
Capital goods	8.5
Automobile vehicles and parts	12.9
Consumer goods (non food)	16.0
All other	4.1

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UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
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CONTENTS

Introduction 5

I The Economy in 1969 5

Fiscal Policy 6
Monetary Policy and Financial Developments 8
Demand, Output, and Employment 13
Costs and Prices 21
The Balance of Payments 23

II Prospects 30

Policies for 1970 30
Internal Prospects 32
Balance of Payments Prospects 35

III Conclusions 37

TABLES

(*a*) IN TEXT:

1 Federal Government Receipts and Expenditures 6
2 Selected Monetary Indicators 9
3 Changes in GNP Volume 14
4 Household Income, Taxes and Consumption 17
5 Indexes of Labour Productivity, Compensation, Costs and Prices, Private Sector 22
6 Balance of Payments — Current Account 27
7 Balance of Payments — Capital Account and Overall Balances 28
8 Prospective Discretionary Changes in Fiscal Policy 31

(*b*) STATISTICAL ANNEX:

A National product and expenditure in current prices 42
B National product and expenditure in constant prices 43

C Monetary indicators (Seasonally adjusted—in billions of dollars) 44
D Monetary indicators (in millions of dollars) 45
E Balance of payments OECD basis 46

DIAGRAMS

1 Interest rates 11
2 Quarterly changes in GNP and final sales 15
3 Percentage disposition of personal income : taxes, consumption and saving 19
4 Selected indicators of demand pressure 21
5 Prices 24

INTRODUCTION

Influenced by tightening supply conditions and growing policy restraint, the U S economy has progressively slowed its advance since mid-1968, with real GNP declining slightly in the final quarter of 1969. But improvements in price and foreign trade performance have been disappointingly slow to appear. Indeed, the rise in prices accelerated in the first half of 1969, and eased off only slightly in the second. The current external position, although improving within the year, has remained unsatisfactory, but a large inflow of short-term banking funds put the official settlements balance in substantial surplus, significantly larger than in 1968.

In 1970, the authorities are aiming at reducing the rise in prices, and reviving the growth of output later in the year. The first half of the year may see little advance in activity—indeed, a brief further decline seems probable —but the second half should see a moderate recovery, influenced by fiscal policy decisions already taken, and assuming some easing of monetary conditions. The margin of unutilized resources should continue to grow throughout the year as the revival of demand in the second half is likely to remain below the rate of growth of capacity. It would seem reasonable to expect better performance in prices and the current external balance, but the speed of the improvements is uncertain. Progress towards better price stability and a sustainable current external account will remain important policy objectives beyond 1970.

The first part of this survey discusses economic developments in 1969, tracing the evolution of demand management policies and the resulting course of demand and output, prices, and the balance of payments. Part Two describes the current policy posture and assesses prospects for the rest of 1970 and beyond. Part Three sums up the current difficult situation and draws some conclusions for future policy.

I THE ECONOMY IN 1969

The slowdown in demand which began midway in 1968 turned out to be somewhat less sharp than had been generally anticipated; moreover, price increases, which had been expected to moderate, accelerated. As signs of continuing inflation mounted, the authorities responded by moving policy towards additional restraint. The deceleration in real growth was thereby continued throughout the year.

Fiscal Policy

In the first half of 1969, the federal government budget[1] moved into large surplus from a small deficit in the last half of 1968, and bigger deficits in the previous one and one-half years (Table 1). The swing was mainly the result of the Revenue and Expenditure Control Act of 1968 enacted in June, which had imposed a temporary 10 per cent surcharge on personal and corporate income taxes, and established a ceiling on expenditures (see the *Economic Survey, United States,* OECD, December 1968). Most of the impact of the expenditure restraint programme came in the first half of 1969, and revenues were augmented by a $ 3 billion increase in social insurance tax rates and unusually heavy final settlements on 1968 personal tax liabilities. (This occurred because added withholding was inadequate to cover the additional tax liabilities which had been made retroactive by several months.)

Table 1 Federal Government Receipts and Expenditures
National Accounts Basis
$ billion Seasonally adjusted annual rates

	1967	1968		1969		Estimates	
		I	II	I	II	1970 I[1]	Fiscal Year 1971[2]
Receipts	151.1	168.3	184.3	200.7	202.3	201.3	205.4
Personal taxes	67.5	73.4	85.5	95.3	95.8	95.2	93.6
Corporate taxes	30.6	37.6	39.1	40.9	39.6	38.0	38.4
Indirect taxes	16.3	17.7	18.4	18.5	19.1	19.1	20.5
Contribution for social insurance	36.7	39.7	41.3	46.0	47.8	48.8	52.9
Expenditures	163.8	177.2	185.8	188.9	195.1	201.2	203.8
Purchase of goods and services	90.7	97.7	101.4	101.1	102.7	98.9	96.6
Transfers to persons	40.0	44.4	47.0	49.5	51.3	58.1	62.8
Net interest	10.3	11.2	11.9	12.7	13.4	13.8	13.3
Other	22.8	23.9	25.5	25.6	27.7	30.5	31.1
Surplus or deficit	–12.7	–8.9	–1.5	11.8	7.2	0.1	1.6

1 Based on January budget estimate for FY 1970 together with estimates for 1969-II.
2 Fiscal year beginning 1 July, 1970.
Source: The Budget of the United States Government, Fiscal Year 1971; Survey of Current Business.

1 Unless otherwise noted the discussion of budgetary figures is on a national accounts basis in current prices.

Recognising the need for continued fiscal restraint, the outgoing Administration in January presented a budget for fiscal year 1970[1] maintaining a small surplus. It proposed a one-year extension of the surcharge (due to expire 30 June), an extension of certain excise tax rates, and a $ 12 billion expenditure increase, compared with a projected $ 15 billion increase for the fiscal year then in progress (FY 1969).

The new Administration decided that additional restraint was necessary on the expenditure side. It found, moreover, that estimates of certain outlays seemed likely to be exceeded, particularly in " uncontrollable " categories such as debt interest, social insurance payments (including the " Medicare " programme), farm price supports, and veterans benefits. Therefore, substantial cuts were necessary in order to make net reductions below earlier estimates. During the year, Congress also cut money from certain programmes, and again imposed an expenditure ceiling. The latter, however, had an escape clause for certain " uncontrollable " categories and for additional spending voted by Congress itself. By the Autumn the Administration was projecting a total expenditure estimate $ 3½ billion below January, 1969, estimates. However, later upward revisions were made necessary in large part because of additional spending voted by Congress, including particularly a 15 per cent social insurance benefit increase, half again as large as the Administration had requested and effective on an earlier date.

Despite these increases, however, total expenditures in FY 1970 are now expected to be kept somewhat lower than the estimate made by the outgoing Administration a year ago, and only 6 per cent higher than in the previous fiscal year. In particular, purchases of goods and services are currently estimated at $ 5 billion below last year's budget projection, and about equal to the total for FY 1969 despite a $ 3 billion increase in Federal salary scales. The bulk of the cuts have been in military expenditures.

The new Administration also put forward a modified tax programme. It proposed that the investment tax credit[2] be repealed (effective April 18, 1969 as of the announcement date) and, in a recognition of congressional preferences, that the tax surcharge be extended at a halved (5 per cent) rate for the last half of the fiscal year. These modifications of the previous Administration's proposals were to have roughly offsetting effects in the short-term, and represented a re-arrangement of priorities rather than a basic shift in the intended degree of restraint.

1 Beginning 1 July.

2 Enacted in October 1962 the investment tax credit provided an incentive for private investment with a 7 per cent credit against tax liabilities for investment in depreciable equipment having a service life of 8 years or more and lesser credits for shorter-lived equipment and for certain public utilities.

After considerable delay, these measures were finally enacted in two stages, with the repeal of the investment tax credit, the extension of excise tax rates, and the extension of the tax surcharge through the final six months of the fiscal year being passed in late December as part of a larger package of tax law changes. This package also included tax reform and relief measures, designed to improve tax equity by limiting certain means of tax avoidance (used largely by upper income groups), and also to provide tax relief, mainly through increases in personal exemptions. Benefits are largest (in percentage terms) for low and middle-income groups. The reform/relief portion of the bill will eventually lead to substantial net revenue losses, but losses in the current year will be quite small, since the provisions of the bill come into effect in stages over several years.

The Federal fiscal posture, then, moved towards additional restraint in the first half of 1969. The degree of restraint was probably not much changed in the second half. Most of the moderate decrease in the surplus in the second half year was due to the end of the unusually large final settlements on personal taxes, which appear to have had little significant effect on spending in the first half. The present budget projects a substantial drop in federal purchases in the current half year, but the fiscal posture appears nevertheless to be easing somewhat owing to the halving of the surcharge (about $ 6 billion, annual rate) and the social insurance benefit increase (about $ 4 billion, annual rate).

Monetary Policy and Financial Developments

In late 1968, after it had become evident that fiscal actions alone had not sufficiently dampened inflationary pressures, the monetary authorities began moving to reinforce the fiscal measures already in place. During the first half of 1969, the Federal Reserve sharply curtailed the growth of commercial bank reserves and, in April, raised the reserve requirements on demand deposits for member banks. April also saw an increase in the discount rate from 5½ to 6 per cent. With the sharply reduced rate of expansion in reserves, growth in bank credit and the money supply was substantially slowed from the rapid rates of 1967 and 1968 (Table 2).

In the third quarter of the year, monetary restraint, as indicated by movements in the important aggregates, appears to have reached its peak intensity. Member bank reserves fell substantially and commercial bank credit and the money supply showed virtually no change. The growth in bank reserves resumed in the fourth quarter, but even so, the money supply increased only slightly. Monetary policy in the second half as a whole remained considerably more restrictive than in the first half, with the money supply growing at an annual rate of less than one per cent.

Table 2 **Selected Monetary Indicators**
Percentage change at annual rate within period[1]
Seasonally adjusted

	1966	1967	1968	1969	1969 First half	1969 Third Quarter	1969 Fourth Quarter
Non-borrowed Reserves Federal Reserve Member Banks[2]	0.7	11.7	6.0	–1.6	–3.8	–5.0	6.4
Total Reserves, Federal Reserve Member Banks[2]	1.1	10.3	7.8	–0.1	0.7	–9.7	7.8
Commercial Bank Credit	5.5	11.6	11.0	2.4	4.2	–0.8	2.1
Commercial Bank Loans	8.1	8.3	11.6	7.7	10.4	3.2	7.4
Money Supply	2.2	6.6	7.2	2.5	4.4	0.0	1.4
Selected Liquid Assets held by public[3]	5.0	8.1	9.1	2.7	1.2	2.4	6.3

1 Rate of change within period is defined as change from the terminal month of the preceding period to the terminal month of period given. Monthly data are averages of daily figures for reserves and the money supply; for other, data are for a single day, the last Wednesday in month except June 30 and December 31.

2 Adjusted for percentage reserve requirements effective April 23, 1969. (Not adjusted for the application of reserve requirements against Euro-dollar borrowings effective in October.)

3 Demand deposits at commercial banks and currency outside banks and savings and loan associations; time deposits at commercial banks and mutual savings bank; savings and loan shares and deposit type liabilities, US government savings bonds and US government securities maturing within one year held outside banks and savings and loan associations.

Source: Federal Reserve Bulletin and Economic Indicators.

The monetary authorities also made use of another tool of restraint on the banking system. While market rates of interest were rising sharply, the Federal Reserve maintained unchanged the ceiling on interest rates banks are permitted to pay on time and savings deposits (Regulation Q). As market rates on competing instruments increased to levels well above the ceiling, the banks suffered a reduction in these liabilities, in particular, large denomination certificates of deposit (CD's). Over the year, negotiable large denomination CD's outstanding fell by $ 12 billion, or more than 50 per cent, mostly during the first half. This weapon does not restrain the growth in total reserves or the money supply, but it does put heavy pressure on bank reserve positions and tends to reduce the growth of bank credit[1]. In January, these ceilings were adjusted upwards, but remained well below market rates of interest.

1 A run-off in CD's will generally involve a corresponding increase in demand deposits which carry a higher reserve requirement. Given the level of total reserves in the banking system this will put pressure on bank reserve positions, and bank credit and deposit liabilities will tend to be reduced; however, even after adjustment is completed, demand deposits in the system (and the money supply) will be somewhat larger. Since the funds leaving CD's will generally flow into other credit channels, the use of Regulation Q can best be characterised as a selective measure, limiting bank credit expansion to the benefit of other credit flows, rather than as a tool of overall restraint.

With non-borrowed reserves falling over most of the year, and with strong credit demands, commercial banks sharply increased their borrowings at Federal Banks. Net borrowed reserves[1], a widely used index of pressure on bank reserve positions, increased from a $ 310 million daily average in December, 1968, to over $ 1 billion in May through July, and stayed in a range close to $ 1 billion for the rest of the year. The "federal funds rate", at which banks lend reserves to one another, climbed from around 6 per cent at the end of 1968, to between 8-10 per cent (on a weekly average basis) in the last half of the year.

Banks also developed less traditional sources of funds. Chief among these were heavy borrowings in the Euro-dollar market, largely through overseas branches, which, until October, bore no reserve requirements. Over the first nine months of the year US bank borrowing from their overseas branches rose by almost $ 8½ billion. In October, however, these borrowings were also subjected to reserve requirements, to the extent of their excess over May levels, and liabilities to overseas branches fell somewhat in the last quarter of the year. Another unconventional source of funds, used particularly in the second half, was the commercial paper market, which banks tapped via issues by subsidiaries and affiliates. As yet, proposals to limit this practice have not been put into effect.

The growth in bank loans remained strong in the first half of 1969 as intense customer demands were met mainly at the expense of security portfolios. But as portfolios were lightened and monetary restraint heightened in the second half, bank lending grew less rapidly. Rationing of lending became more stringent and the cost of loans increased sharply. In June, the " prime " rate on customer loans was raised to 8½ per cent, a record high, compared with 6¾ per cent at the beginning of the year. Requirements for compensating balances, which were probably more stringently applied as the year wore on, put the effective cost of loans even higher.

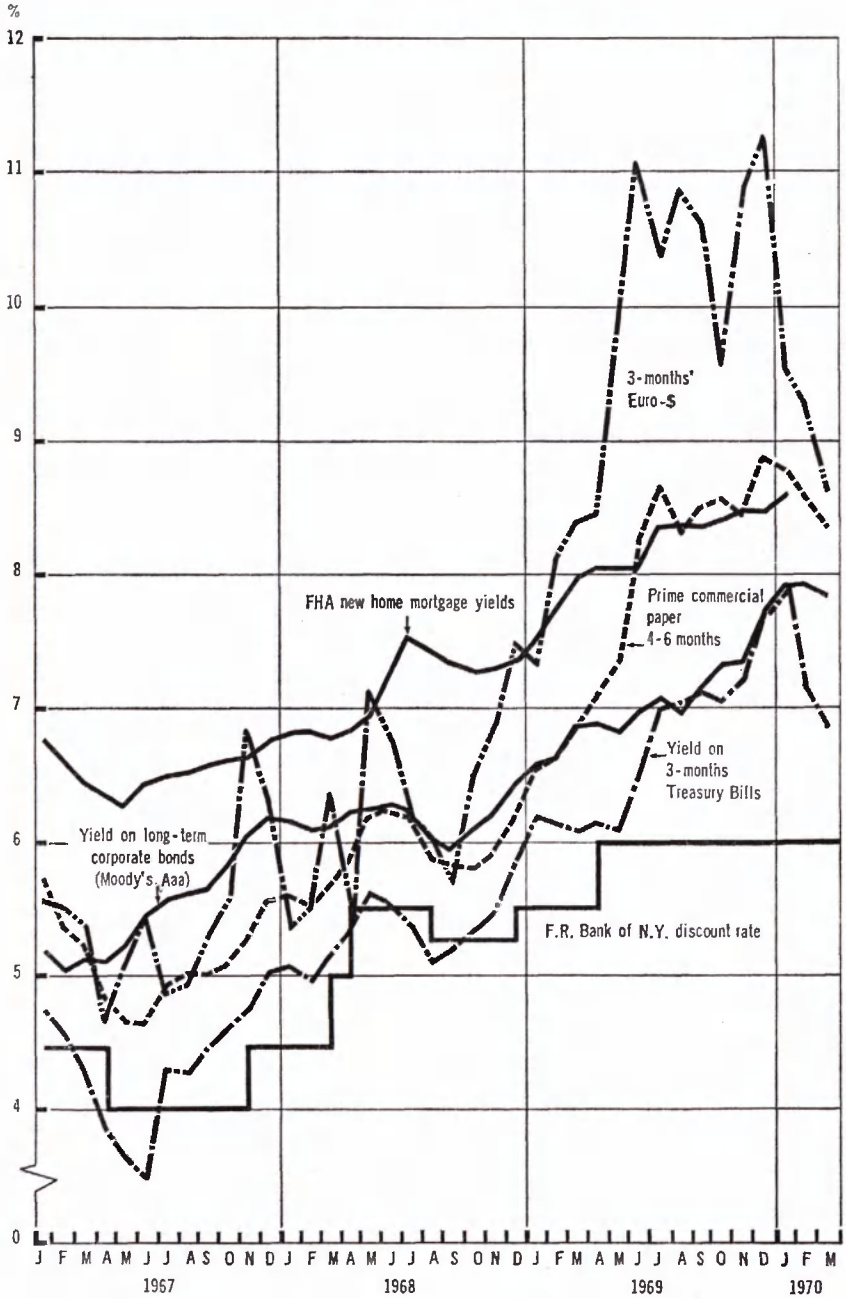
As heavy monetary restraint collided with strong credit demands in 1969, interest rates were sent soaring to historical highs (Diagram 1). Rising inflationary expectations undoubtedly played an important role in making lenders demand, and borrowers willing to pay, these rates. Early in 1970, however, short-term rates were easing somewhat.

Despite soaring costs, demand for funds in credit markets remained very high in 1969. Net funds raised[2] by non-financial sectors in credit

1 Total reserves less required reserves, and less borrowings from the Federal Reserve. When positive termed " free reserves " when negative usually called " net borrowed reserves ".

2 Net of changes in Federal government cash balances outside the Federal Reserve

Diagram 1 Interest rates



Source: Economic Indicators and Survey of Current Business.

markets were down somewhat from the high volume in 1968. But this reduction was more than all due to the swing in net US government borrowings[1], as the Federal Government changed from a substantial net borrower in 1968 to a net repayer of debt in 1969. Business, on the other hand, raised much larger volume of funds than earlier, much of it in the form of short-term borrowing from non-bank sources. Non-financial corporate businesses were forced into increased reliance on external funds by a sharply widening gap between sluggish internal funds and rapidly increasing capital outlays. In the second half, with credit markets extremely tight, they curtailed their borrowing somewhat, adding less to their liquid assets. Credit stringency appears to have had a larger impact on the volume of funds raised by non-business sectors. Borrowing by State and local governments and by households were each reduced from 1968 levels.

As in previous periods of monetary stringency, notably 1966, the housing industry has been most severely affected by credit restraint. This has been not only because housing demand is sensitive to interest rate changes, but also because the availability of mortgage money tends to be curtailed, given certain legal restrictions on interest rates, and given the financial structure of the mortgage market[2]. In 1969, although interest rates climbed much more sharply than in 1966, the impact on mortgage markets and housing was somewhat less drastic. The growth in total mortgage credit slowed only slightly in 1969, compared with a drop of about 15 per cent in 1966. The savings institutions, chief suppliers of mortgage money in the United States, entered 1969 with a heavy backlog of commitments, having taken advantage of the easier credit conditions in the last half of 1968. With saving flows holding up well in the first quarter of 1969, they added substantially to these commitments early in the year. But gaps between maximum interest rates on savings deposits and open market rates widened sharply during the year—becoming much wider than in 1966. Although commercial banks were not able to draw away funds as in 1966, savings institutions lost progressively more money to open market instruments. Net saving flows, then, declined sharply after the first quarter, and mortgage commitments outstanding followed suit. Other institutional lenders—commercial banks and insurance companies—have come less active in home mortgage markets as well. Thus mortgage lending tapered off considerably in the second half, and seems certain to continue to decline well into 1970.

Several factors have served to buttress the mortgage market against tighter credit conditions in 1969. Borrowers have been willing to pay very

1 Net of changes in Federal government cash balances outside the Federal Reserve.
2 For a discussion of these issues in the light of the 1966 experience see *United States Annual Survey*, OECD, December, 1967.

high rates of interest, reflecting strong housing demand and probably inflationary expectations. Institutional changes have been important. Certain legal interest ceilings on mortgages have been raised or suspended to allow more active competition for funds. The interest ceilings on commercial bank time and savings deposits, lowest on denominations less than $ 100 000, have prevented banks from drawing away funds from non-bank savings institutions as they did in 1966. Finally, government sponsored credit agencies, themselves obtaining funds through open market issues of securities, have been able to greatly increase their support of the mortgage market. The Federal home loan banks have provided funds by loans to savings institutions. During 1969 they provided about $ 4 billion to savings and loan associations, more than the latter received directly in net saving flows. The Federal National Mortgage Association, and the Government National Mortgage Association have intervened heavily in the secondary market, taking up more than $ 4 billion in mortgages in 1969[1]. These institutional changes have helped to reduce the incidence of credit stringency on housing. However, further structural changes in financial markets seem desirable in order to spread the impact more evenly among sectors.

Demand, Output and Employment

Continuing a trend begun in mid-1968, the growth in real GNP slowed in 1969, until finally declining slightly in the last quarter of the year. The rate of expansion during the entire year—averaging just 1 2/3 per cent over the four quarters—was well under the estimated 4 per cent trend growth rate of potential GNP. Gains in final sales have been more irregular, with quarter-to-quarter fluctuations being partly offset by inventory changes, but the deceleration has been of approximately the same magnitude (Diagram 2 and Table 3).

Federal purchases of goods and services, following a sharp increase in early 1968, and a level trend in the second half, fell in real terms in each quarter of 1969. This provided much of the reason for the slow growth in that period. Even in current values, three of the four quarters saw declines, the exception in the third quarter owing to the $ 3 billion federal pay increase. Judging from the value figures, defence spending has contributed most to the decline, but non-defence purchases probably have also fallen somewhat. State and local government purchases have grown strongly and steadily over the last several years, reflecting a strong demand for public services. This strength was especially pronounced in the first half of 1969; in the second half there was a marked deceleration which was probably related to difficulties in obtaining financing for capital outlays.

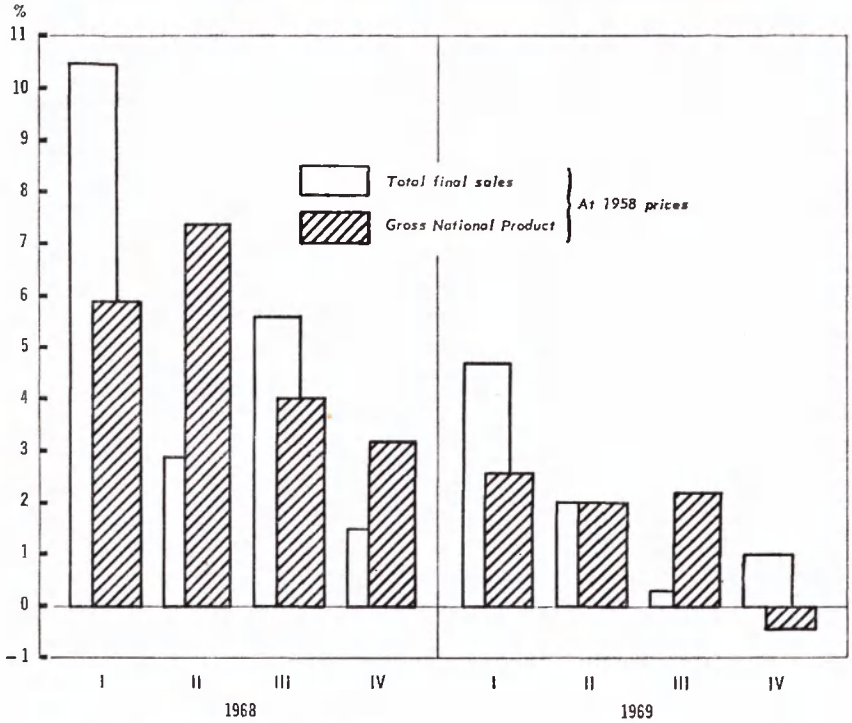
1 Some of the security issues of these agencies may have displaced funds from direct flows into mortgages, reducing the net gain attributable to them.

Table 3 **Change in GNP Volume**[1]

	Absolute changes in 1958 prices ($ billion, seasonally adjusted annual rates)				Percentage changes at annual rates			
	1968/II 1967/IV	1968/IV 1968/II	1969/II 1968/IV	1969/IV 1969/II	1968/II 1967/IV	1968/IV 1968/II	1969/II 1968/IV	1969/IV 1969/II
Personal consumption	14.7	8.6	8.6	2.3	6.9	3.9	3.8	1.0
Durables	5.6	3.2	3.2	–1.8	15.7	8.2	7.9	–2.5
Non-durables and services	9.0	5.4	5.4	4.0	5.1	2.9	2.9	1.8
Non-residential fixed investment	0.2	3.3	3.7	2.2	0.5	9.1	9.8	4.5
Residential construction	0.5	0.6	–0.3	–1.0	4.4	5.2	–2.5	–9.0
Exports of goods and services	2.7	0.3	4.9	0.9	13.1	1.3	22.7	–2.8
Imports of goods and services	3.4	1.8	5.1	0.1	17.5	8.4	23.6	–6.2
Federal government purchases	3.9	–0.2	–3.1	–1.9	10.6	–0.5	–7.7	–6.2
State and local government purchases	3.3	1.5	3.1	0.8	10.3	4.4	8.9	1.9
Final sales	22.0	12.2	11.7	3.1	6.6	3.5	3.3	0.7
Inventory investment	0.3	0.6	–3.6	0.7	0.1[2]	0.2[2]	–1.0[2]	0.2[2]
GNP	22.3	12.7	8.2	3.8	6.6	3.6	2.3	0.9

1 Details may not add up to totals due to rounding.
2 Annual rate of change in inventory investment as percentage of GNP in initial quarter.
Source: Survey of Current Business.

Diagram 2 **Quarterly changes in GNP and final sales**
Percent changes at annual rate for seasonally adjusted quarters



Source: Survey of current Business.

The strong increase in business fixed investment—about 7½ per cent in volume for the year—was perhaps the major surprise of 1969, one which accounted for most of the unanticipated strength in demand, especially in the first half. Large increases in capital outlays were widespread among nearly all industries. Before surveys of intentions became available near the end of 1968 and early 1969, most observers expected a rather modest volume increase. The widely predicted slowdown in economic activity, with sluggish internal cash flows, moderate and declining industrial capacity utilisation, and high interest rates seemed to add up to an unfavourable environment for a capital spending boom. In fact, however, businesses were making plans for a rapid expansion in investment outlays. In February of 1969, they expected an increase in plant and equipment expenditure[1] of 14 per cent in value for the year as a whole. In the event,

1 Plant and equipment expenditure, the measure used in anticipation surveys, is closely allied with, but not identical to, the somewhat more inclusive national income concept of private non-residential fixed investment (" business fixed investment ").

the increase turned out to be about 11½ per cent[1]. This shortfall probably reflected the unfavourable factors listed above as well as supply constraints. But even this degree of persistence is surprising in the face of such discouraging financial conditions. The willingness of corporations to substantially increase their reliance on external funds, even at exceptionally high interest costs, has already been noted.

Various reasons for this capital spending strength—which seems to be continuing into the first half of 1970—have been suggested, but evidence is not adequate to say which have been most important. It is probably true that businessmen have been taking a longer-term view of their needs, and are no longer much influenced by prospective interruptions in economic expansion which government policy seems likely to correct before too long. Expectations of continued inflation have no doubt mitigated the effect of higher costs of borrowing. Perhaps more important, however, have been serious labour shortages and rapidly increasing labour costs, which have recently been reflected in a lowered profits share of national income. There is evidence to suggest that much recent investment has been designed as labour saving, rather than capacity expanding, in nature.

By the fourth quarter, residential construction had fallen by about 5½ per cent in real terms from its peak in the first quarter of 1969 with a sharper decline in housing starts, a significant factor in the overall deceleration, but a good deal less drastic a decline than in the comparable period of 1966. The financial reasons for this have already been explored. The fall in house building was cushioned by a significant rise in residential construction other than new housing units—mainly additions and alterations to existing units—and new mobile homes, The latter have probably been increased as substitutes for new home purchases as the strong underlying demand for housing has been held back by financial constraints. For several years now, new housing starts have fallen considerably short of estimated requirements for new family formation and replacements—even after allowance for the recent strong expansion in mobile home production. This growing pressure of demand has been reflected in very low vacancy rates and a rapid increase in rents.

Tight credit conditions have not been the only cause of problems in the housing industry. Costs of constructing new dwellings have been rising very rapidly in recent years. One part of this has been unusually large wage settlements in the construction industry. Productivity gains have also been slow, hampered by barriers to the rationalization of construction techniques.

1 In volume terms, this downward revision may have been somewhat larger, since the increase in capital goods prices accelerated by about 1 percentage point in 1969.

Consumption spending slowed quite sharply in 1969, rising by only 3 per cent compared with the 1968 increase of more than 5 per cent. This weaker trend largely reflected a substantial slowdown in real disposable income; the personal saving rate fell, but by less than in the previous year. As can be seen in Table 4, the deceleration in real disposable income reflected a somewhat slower rise in personal income, a faster rise in personal taxes, and a more rapid advance in the consumption deflator. The larger increases in personal taxes, in turn, came from the increase in social insurance taxes at the beginning of the year; and the first full year's application of the surcharge which included the unusually heavy final settlements in the first half.

Table 4 **Household Income, Taxes and Consumption**
Percentage changes at annual rates

	5-year average 1962-66	1967	1968	1969
Personal income[1]	7.3	7.5	9.4	9.1
Personal taxes[1]	9.0	10.5	15.6	18.6
Disposable income[1]	7.0	6.8	7.9	6.7
Consumption implicit price deflator	1.4	2.6	3.7	4.2
Disposable income, constant (1958) prices[1]	5.6	4.1	4.1	2.4
Consumption, constant (1958) prices	5.3	2.9	5.2	3.0
Durables	10.3	1.5	10.9	5.1
Non-durables	4.1	1.8	3.5	1.3
Services	4.9	4.9	4.7	3.8
Personal saving rate[1] (per cent of disposable income)	6.0	7.6	6.7	6.1

1 These concepts are on OECD definitions which differ from US official definitions somewhat. Personal taxes include social insurance contributions, which are not deducted in order to arrive at personal income, as done in the US definitions. Consumer interest payments are netted out against interest receipts in personal income, rather than appearing as a separate outlay as is done in the US definition. Thus, OECD personal income equals US personal income plus social insurance contributions and less consumer interest payments; OECD personal taxes equals US personal taxes plus social insurance contributions; and OECD disposable income equals US disposable income less consumer interest payments.

Although tax payments were especially heavy in the first half year, consumption slowed most sharply in the second; the personal saving rate fell sharply in the first half, to absorb the impact of added taxes, but rose substantially in the second half. The gain in real consumer expenditure was at a 1 per cent annual rate over the last two quarters of the year. The slackening in automobile sales later in the year has received most attention, but real purchases of other durables and non-durables proved to be even weaker. Even so, the second half saving rate was not particularly high in relation to the rates experienced in the years 1965-68.

There have been two major instances of the use of personal tax changes for demand management in the 1960's—once when taxes were cut in 1964 and again when taxes were raised in 1968. The long delays in each of these instances raised doubts about the usefulness of tax changes, given present institutional arrangements, as an instrument of short-run stabilization policy. Moreover, the failure of the economy to slow down after the enactment of the tax increase in mid-1968 as much or as quickly as had been widely predicted led to considerable scepticism about the effectiveness of tax increases in curtailing excessive spending. In particular, it has been argued that a *temporary* tax increase may be relatively ineffective in reducing consumer spending, since household outlays may be influenced more by expectations of future income than by current receipts. On the other hand, it can be argued that the forecasting error in 1968 was more largely related to an under-estimate of the buoyancy of consumer demand, rather than to an over-estimate of the impact of the tax increase.

The impact of the 1968 tax increase on consumer spending cannot be conclusively assessed given the present state of knowledge. But superficial evidence is not inconsistent with the view that the tax increase had a significant effect. In the six quarters during which the full surcharge was in effect —the second half of 1968 and all of 1969—taxes absorbed 21.5 per cent of personal income[1], as compared with 19.2 per cent in the previous six quarter period. This was mainly the result of the surcharge, but also reflected an increase in social insurance tax rates at the beginning of 1969. With taxes rising as a percent of personal income by about 2.3 points, consumer purchases as a percent of personal income fell by about 1.1 points from 74.7 to 73.6 per cent. On the simple assumption that the percentage of income spent would have stayed constant in the absence of a tax increase, roughly half the impact of the increase in personal tax burdens fell on consumption spending, the rest on personal saving.

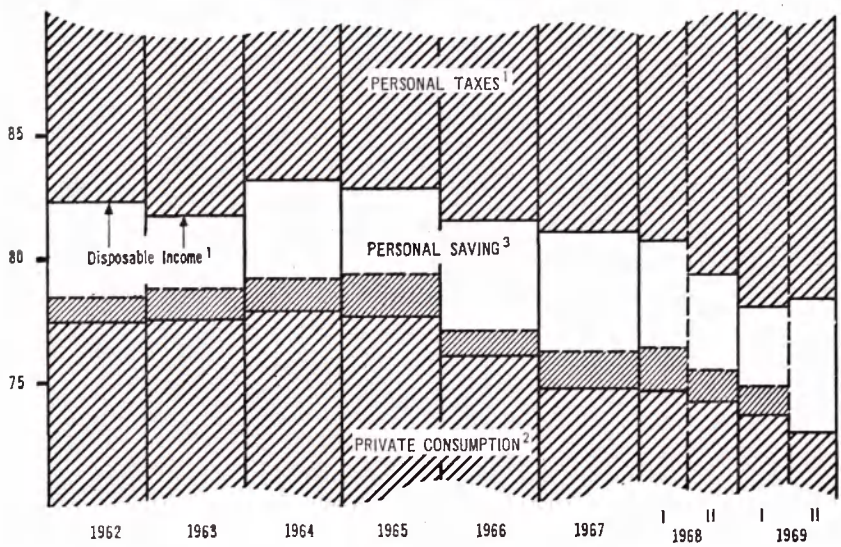
The changing relationship between taxes, consumption, and saving over the past several years may be illustrated with a simple diagram. Diagram 3 shows these quantities expressed as a percentage disposition of personal income. Increases in tax rates are reflected in an expansion of the upper shaded area, at the expense of disposable income. To the extent that these actions affect consumer purchases, movements in the disposable income line will be reflected in similar movements in the per cent of personal income devoted to consumption (again assuming that this percentage would have stayed constant in the absence of the tax change). If tax changes have no effect on spending, they will be absorbed in changes in personal saving instead.

1 On OECD definitions, which include social insurance contributions as personal taxes, rather than as a deduction before arriving at personal income. See footnote to Table 4.

Diagram 3 clearly shows the impact of major tax changes on disposable income :—the large 1964 cut in personal tax rates, increases in social insurance tax rates in 1966 and 1967, the 10 per cent tax surcharge at mid-1968, the increase in social insurance tax rates and large final settlements in the first half of 1969. The diagram also shows that, in the main, there were roughly corresponding shifts in the consumption percentage. It can be seen, however, that the shifts in the consumption line were rather small in the second half of 1968, and early 1969, giving rise to the scepticism about the demand effect of changes in personal tax rates.

It is reasonable to believe, however, that income changes affect consumption only after some lag. This idea has been confirmed by many statistical studies, although the timeshape of the estimated lagged reaction varies considerably. In Diagram 3 we show the results of calculating consumption percentages incorporating a one quarter lag[1] (this is shown by the dashed lines on the diagram). With percentages recalculated on this basis, the impact of tax changes on consumption stands out more sharply.

Diagram 3 Percentage disposition of personal income[1]: taxes, consumption and saving



1 OECD definitions, see footnote to table.
2 Dashed lines show consumption calculated with a one quarter lag.
3 Includes personal transfer payments to foreigners (negligible item).
Source: OECD Secretariat.

1 Thus, consumption compared with a given year's income would be the consumption in the last three quarters of the year, plus the consumption in the first quarter of the following year, seasonally adjusted.

One must remember, of course, that the tax change is designed to affect not just consumption alone, but total spending. Thus, for a complete analysis, it would be necessary to consider also the effect on private investment, which might be either negative or positive. In any case, the crude analysis presented above is only suggestive. The final verdict on the effect of the 1968 tax increase on consumption and on total spending will await the results of more detailed studies.

The broader question of the utility of temporary personal tax changes as instruments of stabilization is, of course, more complex than the question whether the 1968 tax increase affected spending. If the instrument is to be useful the effect must be reasonably predictable, it must not be too long delayed, and the political and institutional conditions must not prevent timely appreciation of the changes. Whether all of these requirements are met in the United States or elsewhere is open to question. Nevertheless, no Government is so well supplied with stabilization instruments that it can afford to rule out the possibility of using this one or neglect efforts to improve knowledge and institutions in ways that would make this instrument more usable.

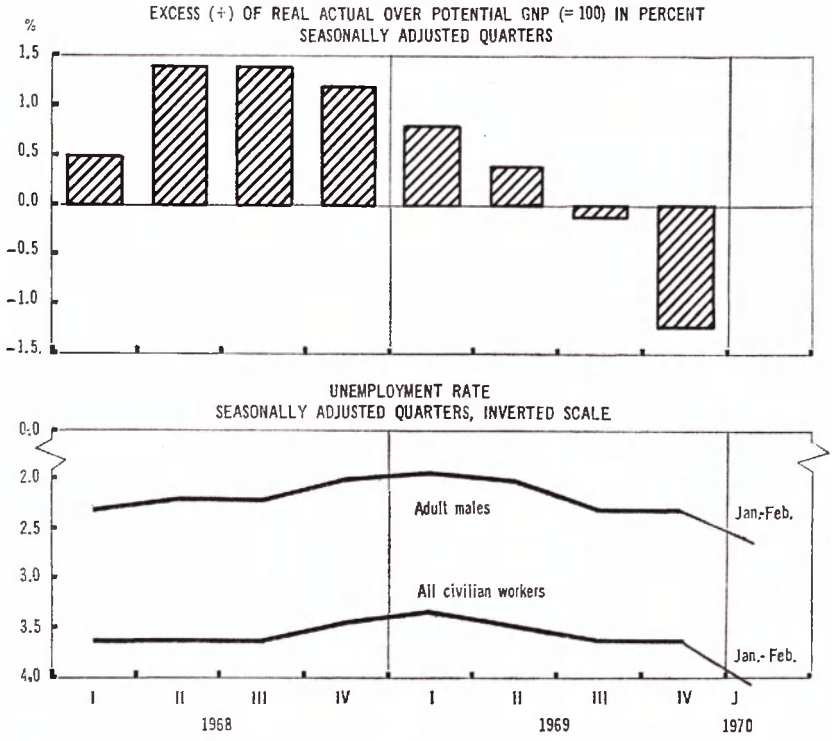
Inventory investment in 1969 was only slightly larger than in 1968. However, relative to the growth in real final sales (excluding services) during the year, which was much smaller than during 1968, the amount of stockbuilding was rather high. Stock-sales ratios had risen somewhat by year end, but still were not exceptionally high by the standards of recent years. The main exception was in automobiles, where weak fourth quarter sales led to a fairly sharp build-up, despite efforts to cut back production.

With slow real growth within the year, pressures on productive capacity were eased in the course of 1969. Real GNP, which had been about ¾ per cent above estimated potential at the end of 1968, was more than one per cent below potential by the fourth quarter of 1969. Other measures, however, showed less easing. The Federal Reserve index of capacity utilization in manufacturing, which has remained at moderate levels since mid-1967, did not show any substantial fall until the final quarter, when it dropped 2½ percentage points to just under 82 per cent. Unemployment rates have also been quite slow to register easing pressures in the labour market, rising much less, in relation to the slow growth of real GNP, than would have been predicted from past experience. (Diagram 4).

The expansion in employment was surprisingly rapid during 1969, especially given the slow growth in output. Non-farm payroll employment[1] grew by 1¾ million, or 2½ per cent over the twelve months, with increases

1 Labour force measures in this section are seasonally adjusted, except for the participation rate.

Diagram 4 Selected indicators of demand pressure



Source: Survey of current Business, Business conditions Digest.

concentrated outside the manufacturing sector, and most rapid in services. Labour force growth was even more rapid, as plentiful job opportunities encouraged large numbers of women and teenagers to seek work, many taking part-time jobs. The labour force participation rate climbed sharply in the first half, but has been easing somewhat over the past several months. Late in the year employment growth was slowing significantly, with declining employment in manufacturing, particularly for producers of durables. Average weekly hours, too, were declining. Unemployment rates, while moving irregularly from month to month, were on a definite upward trend. In early 1970, the overall unemployment rate climbed rather sharply, reaching 4.2 per cent in February. Demand pressures in labour markets, after a long delay, were finally easing significantly.

Costs and Prices

With excess demand persisting in the first half, and cost pressures very strong, price increases accelerated in 1969. The national accounts deflator

for the private sector rose at an annual rate of 5 per cent over the first two quarters of 1969, compared with a rate of less than 4 per cent in the previous two quarters. With GNP falling below potential in the second half, and cost pressures somewhat less intense, increases in the private sector deflator slowed to a 4.6 per cent annual rate. But in the year as a whole, inflation was more rapid than in 1968.

The acceleration in prices was especially disappointing in view of earlier hopes that easing demand pressures might bring some deceleration. Two related factors apparently account for the acceleration. The first is that, with output growth slowing less in the first half than expected earlier, excess demand persisted longer. An excess of GNP over potential was maintained in the first half, although somewhat less than in the previous half year. Labour market pressures, on the other hand, were at their peak early in 1969. However measured, these pressures were adding to an already considerable inflationary momentum, reinforcing inflationary expectations that must have been growing over several years.

The second factor has apparently been sharply rising labour costs (Table 5). These were particularly important in sustaining the advance in prices during the second half, when the pressure of demand had been considerably reduced. Hourly compensation (private sector) actually grew slightly more slowly within the year than in 1968, despite tighter labour market conditions. This may have been, in part at least, because of 1969's relatively light schedule of collective bargaining agreements. These agreements have typically been heavily " front-loaded "—meaning that a disproportionate share of the benefits won are concentrated in the first year of the contract. In contracts negotiated, however, gains in benefits were considerably above those won in 1968.

Table 5 **Indexes of Labour Productivity, Compensation Costs, and Prices, Private Sector**

Percentage changes seasonally adjusted annual rates

	1966 IV 1966 II	1967 II 1966 IV	1967 IV 1967 II	1968 II 1967 IV	1968 IV 1968 II	1969 II 1968 IV	1969 IV 1969 II
Output per man-hour	2.1	2.3	1.5	4.3	3.1	–1.3	1.4
Compensation per man-hour	6.4	5.3	5.4	8.6	8.9	5.9	7.8
Unit Labour costs	4.3	2.9	3.8	4.1	5.8	7.1	6.4
Implicit price deflator	3.1	2.1	3.9	3.6	3.8	5.0	4.6

Source: Employment and Earnings, US Department of Labor, Survey of Current Business.

An extremely poor productivity performance more than accounted for the acceleration in unit labour costs in 1969 (Table 5). Output per man-hour declined over the first two quarters, and only showed a small increase in the rest of the year. The reasons for this are not easy to determine. Some part reflected a typical delay in the adjustment of employment trends to changing output trends. The large weight of marginal workers (teenagers and women) in the rise in employment was probably important, as well as the industry composition of employment increases. But there may well have been, in addition, a substantial amount of labour hoarding, encouraged by beliefs that the slowdown would be of limited duration, and that tightness of labour markets was becoming a permanent feature of the US economy.

The sharp acceleration in unit labour costs, however, was not fully reflected in the acceleration in prices. It is typical of past experience that faster unit labour cost increases which result from cyclical slowdowns in productivity gains are not fully passed on in higher prices, since excess labour holdings are believed to be temporary. Weaker product markets also have inhibited the full conversion of higher costs into prices. As a result, profit margins have been squeezed considerably. Corporate profits[1] per unit of real corporate product (non-financial corporations), and total corporate profits[1] as well, have fallen each quarter in 1969.

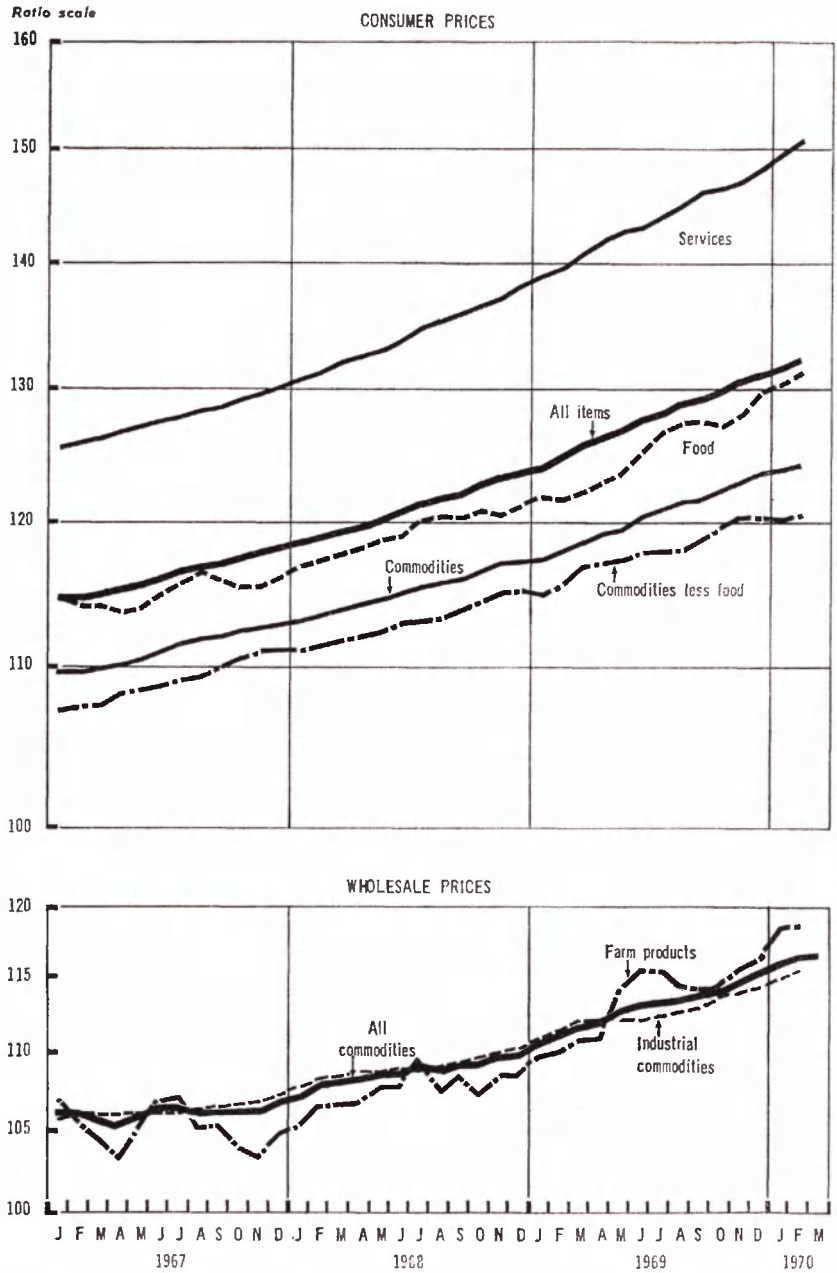
Movements in the monthly price indicators can be appraised with the aid of Diagram 5. Consumer prices went up at an annual rate of 6.4 per cent over the first six months, compared with 4.7 per cent for all of 1968[2]. In the second half this pace eased off somewhat to 5.8 per cent[2], with much of the change coming in a less rapid rise of service prices. Food prices showed a seasonal easing trend in the Autumn, but accelerated substantially around year-end. Wholesale prices of industrial commodities accelerated sharply early in the year, led by an extremely large increase in timber prices, but the movement flattened out as these fell back in response to easing demands for building materials and administration action to increase supplies. In the last six months of the year this important index was rising at a 4½ per cent annual rate, more rapid than in the first half; a somewhat slower trend appeared early in 1970.

The Balance of Payments

In 1969, the US balance of payments was in deficit by $ 7 billion on the "liquidity" balance, a record high, compared to 1968's small surplus.

1 After adjustment for changes in the valuation of inventory holdings.
2 Taking account of seasonal factors would mean that the acceleration was somewhat greater in the first half of 1969; and the deceleration was somewhat greater in the second half.

Diagram 5 Prices
1957-59 = 100



Source: Economic Indicators.

The balance on official reserve transactions, however, registered a $ 2¾ billion surplus. The trade balance was about unchanged from the previous year's relatively small surplus, and the deficit on current account increased. Several extraordinary developments help to account for the unusual overall results.

Merchandise Trade. The dock strike early in the year caused large distortions in the flow of merchandise exports and imports, sharply depressing trade in the first quarter. Although some of these losses were made up later, there were substantial permanent net losses on both sides of the account. Since exports were affected more heavily, there was a net loss to the trade balance estimated at $ 400 million or more for the year. As a consequence, the $ 690 million surplus on non-military merchandise trade was only slightly larger than in 1968, when strikes and threatened strikes in the metal industries swelled imports by over $ 800 million. After adjustment for strike effects in both years, the trade balance declined somewhat in 1969.

Non-military exports grew by about 8½ per cent in 1969, in line with longer-term trends. Adjusting for the estimated strike losses of about $ 800 million, the year-over-year growth would have been above 11 per cent, reflecting strong economic activity and pressures on capacity abroad. Without the dock strikes, quarterly movements (seasonally adjusted) would have shown fairly steady advances throughout the year. Based on the first three quarters (seasonally adjusted), export growth was more than accounted for by non-agricultural goods; exports of agricultural products continued their decline of the previous two years. Shipments of machinery, automotive products, and durable consumer goods were especially strong, while foods and civilian aircraft declined. Automotive exports to Canada expanded at a more moderate rate than in previous years.

Imports continued a rapid expansion in 1969, increasing by about 8½ per cent, even over the inflated values reached in 1968, when major strikes or threatened strikes, mainly in US copper and steel production, had induced over $ 800 million in additional imports. Adjusting for estimated dock strike losses in 1969 of roughly $ 400 million, and taking the 1968 strikes into account, underlying year-over-year growth might have been about 12½ per cent, lower than in 1968, but considerably stronger than had been expected earlier. Slow real growth and some easing of capacity pressures in the United States were apparently more than offset by adverse price developments. Import growth appears to have been largest in machinery, reflecting the domestic boom in capital spending, and in automotive products, even apart from another large increase in trade under the US—Canadian automotive trade agreement. Other consumer goods imports reg-

istered a large increase as well. In the last six months of the year, however, imports seemed to have levelled off considerably.

Services and Current Balance. In the first three quarters of 1969, income payments on foreign investment in the US were at a seasonally adjusted annual rate which was $ 1.4 billion, or nearly 50 per cent, above 1968, mainly because of the sharp increase in interest rates and a very large addition to foreign dollar holdings. US income on investment abroad rose by about $ 1.2 billion in the same period, a strong 15 per cent, but somewhat short of offsetting the increase in payments. Military expenditure abroad levelled off after the first quarter, but outlays still rose more than receipts from military sales. Balances on travel, transportation and other services do not seem to have changed appreciably, so that the surplus on total services for the year may have been about $ 1½ billion, somewhat lower than in 1968. This would bring the overall surplus on goods and services to about $ 2 billion for 1969 as a whole. Net unilateral transfers are likely to have been about unchanged from the $ 2.9 billion outflow in 1968. The current balance, then, will probably have registered a deficit around $ ¾ billion in 1960 with the loss concentrated in the first half year (largely reflecting dock strike losses).

Capital Account and Overall Balances. The large adverse movement in the liquidity balance was centered in the capital account, and in a large unfavourable swing in errors and omissions, which probably reflected a sharp increase in unrecorded capital outflows.

Special financial transactions[1] contributed substantially to the deterioration, largely because forenig official agencies reduced their holdings of certain non-liquid assets in the United States. In 1969 these special transactions, which do not primarily reflect economic forces, worsened the liquidity balance by about $ 900 million compared to a net gain to the liquidity balance of $ 2.3 billion for 1968 . Thus, this factor accounted for over $ 3 billion of the $ 7 billion unfavourable swing in the liquidity balance for the year as a whole. Most of these transactions, however, do not influence the official settlements balance, helping to account for its more favourable performance compared with the liquidity account.

In 1969, the net outflow of US corporate capital (assets and liabilities) increased substantially over the 1968 period. Direct investment outflows were about constant, but new foreign issues of securities to finance these invest-

1 Including changes in foreign official holdings of long-term time deposits, and certificates of deposit at US banks, foreign holdings of certain medium-term US government securities, non-scheduled debt prepayments by foreign governments, and other transactions.

ments fell, with a partially offsetting reduction in proceeds of these borrowings deposited abroad. A large year-end repatriation of funds to the US accounted for much of the fourth quarter improvement in the overall balance—no doubt influence by a desire to make sure targets under the foreign direct investment programme were met. Net lending abroad by US banks moved adversely, amounting to more than $ 500 million in 1969, compared to net repayments of about $ 270 million in 1968.[1] With a weak US stock market, and attractive yields in the Euro-dollar market, foreign purchases of US stocks receded from the high rate in 1968, but remained substantial by the standards of earlier years.

Monetary stringency in the US induced sizeable flows of short-term funds in 1969, with partly opposite effects on the two official balance of payment measures. US banks, with their reserve positions under heavy pressure from the restrictive Federal Reserve policies, borrowed heavily from the Euro-dollar market through their foreign branches, mainly in the course of the first half of 1969. This helped bid up short-term yields in the Euro-dollar market, attracting, in turn, substantial short-term capital outflows from the US—a large part of which were apparently not recorded. Some of these outgoing funds were absorbed by the foreign branches of US banks, and were then loaned to their home offices, completing a circular flow. The banking inflows did not improve the liquidity balance, since, on this account, they are classified as financing, rather than as reducing, the deficit. On the other hand, the outflows of US funds—mostly included in errors and omissions—contributed to the large deterioration of the liquidity balance. The peak of these developments occurred in the second quarter when exchange market developments and high differentials in interest rates between the US and Euro-dollar markets added to the direct effects of monetary restrictions.

Beginning in the third quarter, US banks reduced their foreign borrowing, as minimum reserve requirements were extended to their Euro-dollar liabilities in excess of May 1969 levels. As a consequence, Euro-dollar rates receded somewhat, and with US internal rates still rising, rate differentials became smaller. Other causes for the large reduction of inflows of foreign private liquid funds after mid-year may have been the French devaluation, reducing anticipatory outflows, and the acquisition of large amounts of dollars by foreign central banks, due to exchange rate speculation.

1 Revised guidelines under the programme to restrain foreign lending by banks were issued with effect on 1st December 1969, continuing the scheme imposed in 1965, but giving more leeway to export financing. A separate export term-loan ceiling was established so that subsequent medium and long-term export credits (with a transactions minimum of $ 250,000) are exempt from the ceiling placed on other increases in loans and investments abroad.

Table 6 **Balance of**
$

	1962	1963	1964	1965	1966
Merchandise exports[2]	20 779	22 252	25 478	26 447	29 389
Merchandise imports[2]	–16 218	–17 011	–18 647	–21 496	–25 463
Trade balance	4 561	5 241	6 831	4 951	3 926
Transfers under military sales contracts	656	657	747	830	829
Military expenditures	–3 105	–2 961	–2 880	–2 952	–3 764
Transportation, net	–173	–213	–145	–261	–314
Travel, net	–982	–1 099	–1 004	–1 058	–1 067
Income on investments, net	3 309	3 324	3 930	4 164	4 110
Other services, net	881	1 033	1 100	1 447	1 560
Balance on services	586	741	1 748	2 170	1 354
Unilateral transfers, net[2]	–2 613	–2 715	–2 697	–2 758	–2 833
Current account balance	2 534	3 267	5 882	4 363	2 447

1 Seasonally adjusted quarterly rates.
2 Excluding military.
Source: Survey of Current Business.

Table 7 **Balance of payments -**
$

	1962	1963	1964	1965	1966
Transactions in US private assets, net	–3 426	–4 459	–6 578	–3 794	–4 310
— direct investment	–1 654	–1 976	–2 328	–3 468	–3 639
— new issues of foreign securities	–1 076	–1 250	–1 063	–1 206	–1 210
— claims reported by US banks	–450	–1 536	–2 465	93	253
— claims reported by non-bank sector	–354	158	–1 108	340	–443
— other	107	145	386	447	729
Transactions in foreign assets in the US, net (excl. liquid assets	1 026	690	689	270	2 531
US Govt. assets, excl. official reserve assets, net	–1 094	–1 661	–1 676	–1 598	–1 534
Errors and omissions, net	–1 246	–509	–1 118	–576	–489
Balance on liquidity basis financed by:	–2 204	–2 670	–2 800	–1 335	–1 357
— change in US official reserve assets, net	1 533	377	171	1 222	568
— change in liquid liabilities to foreigners	671	2 293	2 629	113	789
Balance on official reserve transactions	–2 702	–2 011	–1 564	–1 289	266

1 Seasonally adjusted quarterly rates.
Source: Survey of Current Business.

payments - Current account
million

1967	1968	1969	1968[1]				1969[1]			
			Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
30 681	33 598	36 487	7 941	8 395	8 879	8 383	7 478	9 599	9 581	9 829
–26 861	–32 972	–35 797	–7 817	–8 131	–8 566	–8 458	–7 579	–9 599	–9 243	9 376
3 860	626	690	124	264	313	–75	–101	0	338	453
1 240	1 427	1 504	305	353	406	364	414	331	417	341
–4 378	–4 530	–4 882	–1 102	–1 116	–1 143	–1 169	–1 204	–1 208	–1 220	–1 249
–215	–324	–342	–68	–55	–84	–116	–123	–59	–70	–90
–1 549	–1 252	–1 320	–323	–308	–342	–279	–317	–339	–367	–297
4 510	4 766	4 465	1 100	1 231	1 270	1 168	1 224	1 061	1 107	1 074
1 707	1 803	1 957	435	472	489	408	455	504	501	497
1 315	1 890	1 382	347	577	596	376	449	290	368	276
–2 998	–2 865	–2 811	–635	–690	–766	–774	–601	–793	–687	–732
2 177	–349	–739	–164	151	143	–473	–253	–503	19	–3

Capital account[7] and overall balances
million

1967	1968	1969	1968[1]				1969[1]			
			Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
–5 655	–5 157	–5 009	–806	–1 537	–1 868	–947	–1 357	–2 051	–1 279	–324
–3 154	–3 025	–3 060	–472	–1 009	–1 262	–283	–928	–1 057	–1 134	58
–1 619	–1 659	–1 628	–392	–350	–380	–537	–564	–228	–551	–286
–475	269	–528	236	243	–90	–120	82	–501	210	–319
–760	–1 134	–41	–259	–607	–179	–89	–188	–66	207	6
353	393	248	81	186	43	82	241	–199	–11	217
3 360	8 565	3 869	1 555	2 517	1 805	2 688	1 638	351	341	1 540
–2 421	–2 249	–2 217	–738	–639	–527	–346	–463	–648	–657	–447
–1 007	–642	–2 963	–410	–480	309	–60	–1 239	–1 039	–1 034	348
–3 544	168	–7 058	–564	9	–139	862	–1 675	–3 888	–2 608	1 113
52	–880	1 187	–904	137	571	1 076	–48	–299	–686	–154
3 492	712	8 245	–340	128	710	214	1 723	4 187	3 294	–959
–3 418	1 638	2 712	–379	1 553	97	367	1 132	1 226	–927	1 281

Capital flows apparently shifted quite sharply in the fourth quarter, producing substantial surpluses in that period; nevertheless, the liquidity deficit for the year as a whole was still much higher than ever experienced. On the other hand, the surplus on official reserve transactions was enlarged substantially from 1968, as the large inflow of forenig private liquid funds offset the adverse movements of other private capital, recorded and unrecorded, and the deterioration in the current balance.

II PROSPECTS

The growth rate is expected to be close to or below zero in the first half of 1970. This would significantly widen the gap between actual and potential output (to about 3 per cent of potential), and should serve to dampen price and cost increases, with a gradual deceleration in the pace of inflation. With the slack likely to have developed by mid-year, some renewal of growth will be desirable to keep the gap from widening too much further, and to prevent unemployment from mounting too high. If this pick-up in activity can be kept gradual, so that output remains below its potential, the restraining pressures on prices and costs will be maintained; further progress against inflation can then be expected.

Policies for 1970

To attain their objective of reducing inflation, the Administration has adopted a policy of continued fiscal restraint. The budget estimate recently released indicates approximate balance in the national accounts budget for the current half year, compared with a surplus of about $9½ billion in 1969. They also project a small surplus for the fiscal year beginning 1st July (Table 1, p. 5). These figures assume rather slow revenue growth resulting from modest increases in taxable income, but they also reflect a number of discretionary policy measures (Table 8).

A very considerable degree of restraint will be exercised by the projected decrease in federal purchases of goods and services in the current half year, and during FY 1971. According to the current budget, federal purchases (current prices) will decline by more than $ 4 billion between FY 1970 and FY 1971; but for a federal pay increase projected for 1st January 1971, the decrease would be nearly $ 6 billion, with the bulk of the cuts in military spending.

Table 8 Prospective Discretionary Changes in Fiscal Policy Effective 1 January 1970 through 1 January 1971 Cumulative

Cummulative $ billion at annual rates national accounts basis

	1970 I	1970 II	1971 I
Affecting Household Disposable Income:			
Tax surcharge reduction and removal	4	7½	8¼
Tax reforms and relief	½	2	4½
Social insurance benefit increase	4	4½	4½
Federal government pay increase	—	—	3
Total	8½	14	20¼
Affecting Corporate Proits after Taxes:			
Tax surcharge reduction and removal	2	4	4¼
Tax reform	–1	–1	–1¼
Total	1	3½	3
Federal Government purchases (excluding government pay increase). Change in prospective half-yearly rate	–4½	–7	–8½

Source : US Treasury.

Apparently more than offsetting this contractionary action, however, will be tax cuts resulting from the phasing out of the surcharge, and the tax reform and relief bill referred to earlier; and the large social insurance benefit increase effective in this half-year[1]. Table 8 summarizes these changes, with the approximate amounts involved estimated by the Secretariat. In addition to these changes, of course, normal growth of the tax-base will keep revenue growing, but at a slow rate.

The degree of fiscal relaxation shown in the table will be less than a direct comparision of figures would indicate, since changes in federal purchases may be expected to have more powerful effects on total demand per dollar than changes in taxes and transfers. Even after allowance for this fact, however, the net effect of these actions would appear to be somewhat stimulative.

The likely future course of monetary policy is very difficult to appraise, since it will depend on the monetary authorities' diagnosis of the economic situation as it develops. Yet certain assumptions must be made in order to arrive at a basis for a forecast of economic activity. Given the sharply

1 Increased payments will not begin until the second quarter. However, since the benefit increase is effective on 1st January, an additional retroactive payment will be made.

reduced rate of economic expansion in late 1969, some easing of the severe stance may perhaps be expected. But any shift, if occurring, is likely to be quite limited for the time being. Unemployment is still relatively low, price increases are still rapid, and the fiscal position of the Federal Government is relaxing somewhat. Signs of significant easing might have an undesirable effect on inflationary psychology. Having been criticized in the recent past for underestimating inflationary forces, and easing too soon, the Federal Reserve wait this time for more concrete signs of success.

A reasonable assumption may be that, for the time being, Federal Reserve policy will remain quite tight—although less severe in terms of monetary aggregates than in the second half of 1969. If the money supply is allowed to grow at, say, around 2 or 3 per cent per annum in the first half, and if the demand for funds eases somewhat with the economic slowdown, interest rates could show some further easing. If the zero growth in real output in the first half turns out as anticipated, and the expected benefits to price trends appear, it may be reasonable to expect some moderate further easing in the Spring or early Summer—perhaps to a money supply growth rate of 3-4 per cent, and some further reduction in interest rates, at least on short-term instruments.

It should be emphasized that these policy assumptions depend to a large extent on the forecast turning out about right—just as the forecast, in turn, will depend on the policy assumptions. If the economy begins to slide into a severe downturn, one would expect a quicker and more rapid shift in policy—although a more moderate shift than in 1967 or 1968. If economic activity proves to be much more buoyant than has been anticipated, policy could be more restrictive.

Internal Prospects

The outlook for economic activity, given the assumption listed, is more than usually uncertain. An economy which has been brought to a standstill tends to become unstable. Unless forward momentum is re-established in a reasonably brief period, downward forces may tend to cumulate. For this reason, the major possibility of error from the forecast sketched below appears to be on the down side.

At present it appears likely that the fourth quarter's slight decline in real GNP will be followed by another—perhaps somewhat larger—decrease in the first quarter of 1970. Real final sales (GNP less inventory accumulation) may show little change from the fourth quarter. Given somewhat high stock-sales ratios at year-end, and the continued sluggishness of final sales, inventory accumulation is likely to continue to be cut back. The

second quarter, too, is likely to be weak, although real GNP may not fall further. But real activity in the second quarter is not likely to be above the level of the second half of 1969.

In the first half of 1970, the major depressing influence should be federal purchases of goods and services, which are expected to be about 4 per cent below the previous half year in value terms. Recent movements in housing starts, and diminished financial flows through thrift institutions, point to a continued fall in residential construction. State and local government spending will, no doubt, continue to rise, but perhaps not faster than its recent dampened pace. Net exports of goods and services will probably increase significantly. The strongest force of expansion seems to be the substantial increase in business plant and equipment spending now projected by respondents to the SEC/Commerce survey for the first half. Current plans, reported in late January and February, 1970, apparently are to increase capital outlays (value) by 4 per cent (seasonally adjusted) over the second half of 1969.

The growth of labour income, which has slowed considerably in recent months, is likely to continue to slow during the first half, with a possible decline in employment and some dampening of wage increases. But household disposable incomes have been augmented by the tax reduction on the lst January, and will receive a considerable boost with the increase in social insurance benefits in the second quarter. As a result, gains in disposable income may not be far below the average increase over the last two quarters of 1969. With depressed consumer psychology, as shown by recent surveys, and a delayed reaction to the tax and transfer injections, the personal saving rate is likely to rise somewhat. Nevertheless, consumer spending will probably continue to be a sustaining force in the economy during the first half.

In the second half, renewed growth is probable, but expansion will probably remain well below the 4 per cent growth rate in potential. Federal purchases are likely to continue to decline, according to present plans, although perhaps somewhat less sharply than in the first half. Given some easing in monetary conditions, residential construction should not decline further, and might well show some recovery. The current SEC/Commerce survey indicates a further strong increase in business fixed capital spending in the second half, 6 per cent (value) over the anticipated first half rate. Plans for the year as a whole, then, sum to a 10½ per cent gain, only slightly below 1969's 11½ per cent increase. Just as in 1969, however, this high rate seems unlikely to be fully realized, given a growing squeeze on internal funds, a continued high cost of borrowing, and the likelihood that capacity utilization may be somewhat less than expected when these plans were made. Nevertheless, in view of the experience in 1969, it would seem unwise to

discount this survey too greatly. Another expansionary force should be consumer spending, which will still be adjusting to the tax and transfer injections in the first half, and which will receive additional stimulus with the further tax reduction at mid-year. In addition, employment should be expanding again, and consumer psychology may take a turn upwards as in past cyclical experience. With renewed growth in real final sales, inventory investment should not be a depressing force as it will likely have been in the first half.

Over the four quarters of the year, then, real growth might total between 1 and 1½ per cent. Demand pressures, as a consequence, will probably be considerably eased. The gap of GNP below potential should be above 3 per cent by mid-year, and about 4 per cent by year end. The unemployment rate, as noted earlier, has not risen much in 1969 as would have been expected on the basis of past relationships with output growth. Labour force growth will probably slow in 1970. But on the basis of the above forecast, it still seems reasonable to expect the unemployment rate to be around 4½ per cent by mid-year, and to rise somewhat further in the second half.

Significant improvements in price performance can be expected as a result of this widening margin of unutilized resources. Profit margins will come under increasing pressure in the first half year. Growing resistance to wage demands, and easier conditions in labour markets should lead to slower increases in hourly compensation, although this process will be countered by the strength of union demands in a year with a heavy collective bargaining schedule. Labour demands will be heavily influenced by efforts to catch up with past inflation, and expectations of future inflation. The former will probably mean that long-term contracts will be heavily " front-loaded ", i.e., have increases concentrated in the first year of the contract. There may well be a continued high incidence of labour disruptions during the year. Labour productivity gains will likely continue to be lower than normal, but may improve somewhat from 1969. The rise in unit labour costs, then, should be significantly less than last year.

Despite this easing of demand pressures, inflationary expectations are still strong, and may subside only gradually. Recent wholesale price trends do not hold out much hope that inflation will slow quickly. Around mid-year, though, significant progress should be evident. A cautiously optimistic view might be that by the final quarter of the year, the annual rate of increase in the private GNP deflator might be down close to 3 per cent, compared to 4½ per cent in the fourth quarter of 1969.

Prospects for 1971 are of course still very tentative. Yet it seems reasonable to expect that the pick-up in economic activity anticipated for

the second half of 1970 may continue into 1971. Monetary conditions should be more favourable to a normal rate of growth, and consumer income will be receiving an additional boost from Federal fiscal actions. Policies will still need to be directed at keeping this expansion within the growth rate of potential, and thus maintaining downward pressures on the rate of inflation.

Balance of Payments Prospects

The outlook for slow growth and easier demand pressures sketched above should help to produce some improvement in the current account of the balance of payments. Merchandise exports seem likely to continue to grow at a fairly rapid rate in 1970, perhaps above 10 per cent. This assumes growth in export markets of about 10 per cent, and includes an allowance for the recovery from the effects of the dockworkers strike in 1969. It also includes a substantial increase in deliveries of commercial aircraft now scheduled for 1970. Easing pressures of demand could also help somewhat, but recent poor price performance will tend to dampen export performance in 1970, and for some time to come.

Merchandise imports in 1970 are likely to be considerably restrained by the slow growth in output and easing pressures on capacity. In previous periods of decelerating growth, imports have usually levelled off sharply or declined somewhat, as reduced pressures on capacity may at least partially offset some continued expansion in output or prices. The most recent example was in the first two quarters of 1967, when output growth slowed to an annual rate of increase of about ¾ per cent, while imports (value) actually declined by about 3 per cent. In early 1970, real growth is likely to be even slower—or perhaps negative—but price increases will be more rapid. 1969 data, as noted earlier, are difficult to interpret, but there seems to have been a significant levelling-off in the second half of the year. In the first half of 1970, the trend in imports may be about flat. If some revival in the second half occurs, growth in imports will probably resume. But for the year as a whole, import increases should be significantly less than last year, and less than the anticipated growth in exports. An increase of roughly 4 per cent seems plausible, which together with the export gain expected would produce an improvement in the surplus on merchandise trade of nearly $ 2 billion.

Some improvement in the balance on current account invisibles also seems quite possible in 1970. The improvement would come mainly from the balance on investment income. Last year, with interest rates on short-term liabilities rising sharply, the exceptionally large increase in investment income payments more than offset a good-sized expansion in receipts.

During 1970, US interest rates should ease during the year, and the increase in payments to foreign investors should be much less, while investment income receipts should continue their growth about on trend. Military expenditures should level off or decline in 1970, reflecting anticipated troop withdrawals from Vietnam, but a fall in military sales could be more than offsetting.

The current account, then, should move back into surplus in 1970 after two consecutive years of deficit. But the surplus achieved will likely be quite modest compared to the average of the 1960's, and appears likely to remain less than satisfactory from the viewpoint of overall balance of payments needs.

The capital account, as usual very difficult to forecast, may move unfavourably in 1970. The largest potential source of deterioration is in the net outflow of US corporate capital (assets and liabilities). Plant and equipment expenditures anticipated by foreign affiliates of US corporations are expected to increase by 20 percent in 1970, according to a survey taken in December. US corporations appear to have substantial leeway under the programme to restrict direct investments abroad[1], and could increase their net outflows substantially. On the other hand, they still hold substantial liquid funds abroad, in part obtained from earlier borrowings stimulated by the capital restraint programme. Given expected weak internal cash flows relative to domestic needs, US corporations could decide to make more use of these funds to finance their foreign affiliates in 1970.

A possible source of improvement in 1970 is in foreign purchases of US stocks. These purchases, which had increased very sharply in 1968, receded in 1969, apparently because of the weakness in the US stock market and high yields on Euro-dollar deposits. If the US stock market shows signs of beginning a recovery, and if Euro-dollar rates continue to recede, this inflow could improve significantly.

With the expected improvement in the current account, and despite the possibility of some increases in net non-liquid capital outflows, the US liquidity balance (and the OECD balance on non-monetary transactions) seems likely to improve this year, but a fairly large deficit will probably persist. The balance on official reserve transactions, however, seems likely to deteriotate as, with the expected easing of domestic monetary conditions, US bank borrowing from the Euro-dollar market is not likely to be as large this year as last. Indeed, it is possible that there could be some

1 This programme was relaxed somewhat in April, 1969, but this relaxation is not expected to have a major impact on capital outflows.

return flow of these funds if domestic monetary conditions ease very considerably. However, the possibility of a large reflow has been substantially reduced by a special provision of the Federal Reserve regulation which established reserve requirements on these liabilities. As noted earlier, these reserve requirements are applied only to the excess of a bank's borrowings over amounts outstanding in May, 1969. At the same time, this base amount free from requirements is to be lowered to the extent to which a bank's borrowings outstanding later fall below the May level. In order to protect this base, then, banks may wish to maintain their level of borrowings, even if the pressure on their reserve positions eases. Even so, the deterioration in the balance of official reserve transaction could prove to be large in 1970.

III CONCLUSIONS

Economic policy has succeeded in removing excess demand. But progress towards better price stability has so far been slow, and the balance of payments position remains unsatisfactory. In 1970 the prospect is for little if any rise in real output in the first half of the year, but the authorities aim at a moderate but progressive revival of growth thereafter. With the pressure on resources easing further, it is reasonable to expect some slowdown of the price rise and an improvement of the current foreign balance as the year wears on, although the speed of the adjustments is necessarily uncertain. The risk of a serious downswing, with a rapid rise in unemployment, cannot entirely be excluded. On the other hand, it is possible that the degree of cooling-off of the economy acceptable on the basis of social considerations will not produce the expected improvement in price performance. These conflicting risks and uncertainties give rise to difficult policy problems.

A first problem concerns the use of demand management policies for demand management. An easing of monetary posture early in 1970 seems desirable; the main uncertainty concerns the appropriate timing and degree of relaxation. The forecast discussed above, with virtually no growth of output in the first two quarters and a modest recovery thereafter, assumed that some relaxation would begin in the first half of the year. On this basis, full continuation of the present tight conditions would seriously enhance the risk of a serious downturn, entailing a rapid increase in unemployment. But while some easing of monetary restraints would seem to be called for, relaxation will clearly need to be prudent and gradual in order to avoid an excessive recovery of demand that could endanger the further improvement in the price performance.

Balance of payments considerations point in the same direction. As noted earlier, a further inflow of short-term funds after the massive inflow experienced in 1969 is unlikely, and easier monetary conditions could provoke a reversal of last year's experience and an outflow of funds this year. As the surplus on current account, although growing, is likely to remain small, monetary policy will have to be prudent to avoid too large an overall deficit; and given the interest of the United States as well as other countries in avoiding disequilibrating capital flows on too sudden or large a scale, the need for mutual understanding of market trends and policy objectives is apparent.

With regard to fiscal policy, the main problem for the authorities may be to ensure that the planned significant decline in the Government's purchases of goods and services is in fact forthcoming. This may not be easy, but is essential as an offset to the demand impact of the progressive and substantial net reduction in taxation up to mid-1971 that has already been decided. If there was a risk of considerable slippage in the government economy programme, entailing the danger of too rapid a revival of aggregate demand, the scope for a relaxation of monetary policy would be smaller. Close co-ordination of fiscal and monetary policy will be needed.

Even with the easier demand conditions now envisaged, progress towards price stability and an early return to fuller employment might be enhanced if certain selective measures could be applied in support of continued use of traditional demand management policies. There is no guarantee that a reasonably moderate but acceptable level of employment will, by itself, be enough to avoid inflationary wage increases. Most Member countries have experienced great difficulty in combining high employment and price stability.

Experience in applying selective policies have varied considerably both among countries and in their degree of success. They include policies to improve manpower training and mobility, to locate and alleviate structural problems in individual industries, to provide special assistance to distressed areas, to ensure reasonably free competition and to exercise influence over wages and prices by what have come to be called incomes policies.

Manpower policies appear to have met with a measure of success in a number of countries, however difficult it may be to quantify their exact contribution. While essentially aimed at corrections to structural problems over the medium term, manpower policies also have a role to play in dealing with short-term disequilibria. In the medium term they act to raise the productivity of labour and to avoid bottlenecks, particularly among skilled workers. In the short-term, increased labour mobility, for example, can

lead to a closer fit between the demand for and supply of different types of labour in different localities, thus reducing both involuntary unemployment and unfilled vacancies. The expanded programme which the American authorities have proposed is to be welcomed.

Many Member countries have been seeking to apply some form of an incomes policy. Although progress has been made in some countries, no country can yet point to any large measure of success, over any length of time, in controlling prices in this way: given the nature of the problems involved, progress can hardly be expected to be very rapid. The approach necessarily varies from country to country, depending on a wide range of factors including institutional arrangements and the structure, comprehensiveness and attitudes of trade unions and employers' associations. For these reasons, the experience of one country may not be immediately relevant to another. The American authorities nave not judged incomes policies to be appropriate in the United States as a supplement to other restraints in coming to grips with the inflationary problems now present; the focus has rather been on other types of selective measures.

The US authorities have begun to give greater attention to individual markets where imperfections, bottlenecks or government policies have contributed to the rise in prices—e.g., the enquiry into the rise of timber prices in 1969. The maintenance of these efforts would obviously be useful. Indeed, if these investigations are to be a continuing form of activity in attempting to make markets more flexible and competitive, it may be useful to set up some sort of committee with a staff equipped to provide detailed analysis of specific market situations. A supplementary line of approach would be to make greater use, where practical, of import policy—in the shape of higher quotas or lower tariffs— to influence prices in selected areas, particularly those where large price increases had occurred or were in prospect.

The severity and length of inflation in the United States has made expectations and attitudes on the part of business and labour of special importance in bringing an early end to price and cost increases and an early return to fuller employment and higher levels of activity. For this reason, it is clearly both important and opportune for the authorities to continue their efforts to explain the direction of economic policy, emphasizing the fact that with the easing of labour and product markets, price and wage increases should be expected to become progressively smaller.

The heavy schedule of wage bargaining this year may raise a particular problem. Many of the settlements involved tend to cover periods of 2-3 years; at the time they are reached, there may be a tendency to assume that prices will continue to rise at their recent rate, increasing the risk of

continued cost inflation in 1971 and 1972. It may, therefore, be preferable, so far as possible, that wage contracts this year be made for shorter periods of, say, one year. Alternatively, where there are strong arguments in favour of multi-year contracts, the increases scheduled for 1971 and 1972 would preferably be based on an assumption of a much smaller price increase than at present, even though to achieve this, price-escalator clauses might have to be accepted.

Over the longer term, once inflation has been brought under control, the authorities aim at bringing the economy back to a steady growth pattern at a high level of employment without reviving inflationary pressures. In doing so they intend to avoid excessive destabilizing actions—rapid shifts in the Federal fiscal position or sharp changes in rates of growth of key monetary aggregates—which may have contributed to much of the instability in past years. It is, of course, recognized that autonomous changes in private demand cannot be excluded and that they may indeed become cumulative. A sufficient arsenal of policy weapons, suitable for prudent and judicious demand management, is therefore likely to be advisable.

Other countries have an important interest in the ability of the United States to follow a path of smooth development in conditions of stability. Not only would the emergence of recessionary conditions in the United States have a disruptive effect on their own economies. Equally important, a continued inflationary trend of prices in the United States would undermine the possibility of price stability in the rest of the world.

STATISTICA LANNEX

Table A **National product and expenditure in current prices**
Billions of dollars

	Personal consumption expenditure	Gross private domestic investment	New construction	Producers durable equipment	Change in business inventories	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross national product
1953	230.0	52.6	30.6	21.5	0.4	0.4	81.6	57.0	24.6	364.8
1954	236.5	51.7	32.7	20.6	–1.5	1.8	74.8	47.4	27.4	364.8
1955	254.4	67.4	37.6	23.8	6.0	2.0	74.2	44.1	30.1	398.0
1956	266.7	70.0	38.9	26.5	4.7	4.0	78.6	45.6	33.0	419.2
1957	281.4	67.9	38.1	28.4	1.3	5.7	86.1	49.5	36.6	441.1
1958	290.1	60.9	37.4	25.0	–1.5	2.2	94.2	53.6	40.6	447.3
1959	311.2	75.3	42.1	28.4	4.8	0.1	97.0	53.7	43.3	483.7
1960	325.2	74.8	41.0	30.3	3.6	4.0	99.6	53.5	46.1	503.7
1961	335.2	71.7	41.0	28.6	2.0	5.6	107.6	57.4	50.2	520.1
1962	355.1	83.0	44.6	32.5	6.0	5.1	117.1	63.4	53.7	560.3
1963	375.0	87.1	46.5	34.8	5.9	5.9	122.5	64.2	58.2	590.5
1964	401.2	94.0	48.3	39.9	5.8	8.5	128.7	65.2	63.5	632.4
1965	432.8	108.1	52.8	45.8	9.6	6.9	137.0	66.9	70.1	684.9
1966	466.3	121.4	53.5	53.1	14.8	5.3	156.8	77.8	79.0	749.9
1967	492.3	116.0	52.9	55.7	7.4	5.2	180.1	90.7	89.3	793.5
1968	536.6	126.3	59.5	59.5	7.3	2.5	200.3	99.5	100.7	865.7
1969	576.0	139.4	65.6	65.8	8.0	2.1	214.6	101.9	112.7	932.1
1966: 1st quarter	457.8	117.5	56.0	50.2	11.3	6.2	148.0	72.8	75.2	729.5
2nd quarter	461.9	122.4	54.2	52.1	16.2	5.6	153.4	75.6	77.7	743.3
3rd quarter	471.2	119.6	53.7	54.0	11.9	4.4	160.7	80.5	80.1	755.9
4th quarter	474.5	126.2	50.3	56.0	19.9	4.9	165.2	82.1	83.0	770.7
1967: 1st quarter	480.9	113.6	50.4	54.2	9.0	5.4	174.2	87.8	86.4	774.2
2nd quarter	489.8	109.4	50.3	55.8	3.4	5.8	178.5	90.3	88.1	783.5
3rd quarter	495.7	117.7	54.3	55.7	7.8	5.6	181.3	91.3	90.0	800.4
4th quarter	502.6	123.3	56.6	57.2	9.5	3.8	186.4	93.5	92.9	816.1
1968: 1st quarter	520.6	119.4	58.4	59.4	1.6	1.9	193.4	96.3	97.1	835.3
2nd quarter	530.3	126.6	58.6	58.1	9.9	3.4	198.4	99.0	99.4	858.7
3rd quarter	544.9	125.2	58.9	59.1	7.2	3.6	202.5	100.9	101.7	876.4
4th quarter	550.7	133.9	62.0	61.4	10.5	1.2	206.7	101.9	104.8	892.5
1969: 1st quarter	562.0	135.2	65.6	63.0	6.6	1.5	310.0	101.6	108.5	908.7
2nd quarter	572.8	137.4	64.8	65.7	6.9	1.6	212.9	100.6	112.3	924.8
3rd quarter	579.8	143.3	66.1	66.4	10.7	2.7	217.0	103.2	113.8	942.8
4th quarter	589.5	141.8	66.1	68.0	7.7	2.7	218.3	102.3	116.0	952.2

Source: Survey of Current Business.

Table B **National product and expenditure in constant prices**
Billions of 1958 dollars

	Personal consumption expenditure	Gross private domestic investment	New construction	Producers durable equipment	Change in business inventories	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross national product
1953	250.8	61.2	34.5	25.8	0.9	1.1	99.8	70.0	29.7	412.8
1954	255.7	59.4	36.9	24.5	–2.0	3.0	88.9	56.8	32.1	407.0
1955	274.2	75.4	41.3	27.7	6.4	3.2	85.2	50.7	34.4	438.0
1956	281.4	74.3	40.7	28.8	4.8	5.0	85.3	49.7	35.6	446.1
1957	288.2	68.8	38.4	29.1	1.2	6.2	89.3	51.7	37.6	452.5
1958	290.1	60.9	37.4	25.0	–1.5	2.2	94.2	53.6	40.6	447.3
1959	307.3	73.6	40.9	27.9	4.8	0.3	94.7	52.5	42.2	475.9
1960	316.1	72.4	39.3	29.6	3.5	4.3	94.9	51.4	43.5	487.7
1961	322.5	69.0	39.0	28.1	2.0	5.1	100.5	54.6	45.9	497.2
1962	338.4	79.4	41.7	31.7	6.0	4.5	107.5	60.0	47.5	529.8
1963	353.3	82.5	42.7	34.0	5.8	5.6	109.6	59.5	50.1	551.0
1964	373.7	87.8	43.3	38.7	5.8	8.3	111.2	58.1	53.2	581.1
1965	397.7	99.2	46.1	44.0	9.0	6.2	114.7	57.9	56.8	617.8
1966	418.1	109.3	45.3	50.1	13.9	4.2	126.5	65.4	61.1	658.1
1967	430.3	100.8	42.9	51.0	6.9	3.6	140.0	74.8	65.2	674.6
1968	452.6	105.7	46.0	53.2	6.6	0.9	148.4	78.9	69.5	707.6
1969	466.1	111.8	47.4	57.4	6.9	0.0	149.7	76.0	73.7	727.5
1966: 1st quarter	415.3	106.9	48.1	48.1	10.7	5.5	121.4	62.0	59.4	649.1
2nd quarter	415.1	110.8	46.0	49.4	15.3	4.8	124.3	63.8	60.5	655.0
3rd quarter	421.3	107.1	45.1	50.9	11.1	3.2	128.7	67.3	61.4	660.2
4th quarter	420.7	112.5	42.0	52.0	18.5	3.3	131.6	68.6	63.0	668.1
1967: 1st quarter	424.4	100.5	41.7	50.3	8.5	4.0	137.6	72.8	64.8	666.5
2nd quarter	430.5	95.7	41.1	51.4	3.1	4.2	140.1	75.1	65.0	670.3
3rd quarter	431.9	101.6	43.5	50.8	7.4	4.1	140.4	75.5	64.9	678.0
4th quarter	434.3	105.4	45.1	51.6	8.7	2.0	141.7	75.7	66.0	683.5
1968: 1st quarter	445.6	101.2	46.3	53.5	1.5	.9	145.6	77.3	68.3	693.3
2nd quarter	449.0	106.6	45.5	52.0	9.0	1.3	148.9	79.6	69.3	705.8
3rd quarter	458.2	104.1	44.9	52.7	6.4	1.7	148.8	79.2	69.6	712.8
4th quarter	457.6	110.9	47.0	54.4	9.6	–0.2	159.2	79.4	70.8	718.5
1969: 1st quarter	462.9	103.9	48.5	55.5	5.9	–0.3	159.6	78.3	72.3	723.1
2nd quarter	466.2	110.8	47.1	57.7	6.0	–0.5	150.2	76.3	73.9	726.7
3rd quarter	466.5	114.3	47.2	57,8	9.3	0.4	149.4	75.5	73.9	730.6
4th quarter	468.6	112.2	47.0	58.6	6.7	0.5	148.4	73.9	74.6	729.8

Source : Survey of Current Business.

Table C **Monetary indicators**
Seasonally adjusted (in billions of dollars)

	Money Supply[1]			Loans and Investments at Commercial Banks[2]			
						Securities	
	Total	Currency	Demand Deposits	Total	Loans	US Govt.	Other
1960: December	141.1	28.9	112.1	194.5	113.8	59.8	20.8
1961: December	145.4	29.6	115.9	209.6	120.4	65.3	23.9
1962: December	147.4	30.6	116.8	227.9	134.0	64.6	29.2
1963: December	153.0	32.5	120.5	246.2	149.6	61.7	35.0
1964: December	159.3	34.2	125.1	267.2	167.7	60.7	38.7
1965: December	166.7	36.3	130.4	294.4	192.6	57.1	44.8
1966: December	170.4	38.3	132.1	310.5	208.2	53.6	48.7
1967: December	181.7	40.4	141.3	346.5	225.4	59.7	61.4
1968: December	194.8	43.4	151.4	384.6	251.6	61.5	71.5
1969: January	195.8	43.5	152.3	385.9	253.7	60.8	71.4
February	196.3	43.8	152.5	387.9	258.4	58.1	71.5
March	196.8	44.1	152.7	386.6	257.3	57.4	71.9
April	198.1	44.2	154.0	390.7	261.0	57.7	72.1
May	198.3	44.5	153.8	392.2	264.1	56.1	72.0
June[3]	199.0	44.8	154.2	397.3	269.2	56.3	71.8
July	199.3	45.0	154.4	397.7	269.9	56.8	71.0
August	199.0	45.3	153.8	397.5	270.3	56.9	70.3
September	199.0	45.2	153.7	396.5	271.3	54.7	70.5
October	199.1	45.6	153.6	396.8	273.3	53.4	70.1
November	199.3	45.9	153.4	399.7	275.5	53.2	71.0
December	199.6	46.0	153.6	398.6	276.2	51.8	70.5

1 Average of daily figures.
2 Data are for last Wednesday of month.
3 Beginning in June, 1969, data for loans and investments at commercial banks revised to include all bank premises subsidiaries and other significant majority owned subsidiaries; earlier data include commercial banks only. Series also changed to include gross loans and investments without the deduction of valuation reserves rather than net of valuation reserves as done previously. June, 1969 data on the old basis are: total, 392.5; loans 264.3; US Government securities, 56.2; other securities, 72.0.
Source: Federal Reserve Bulletin.

Table D **Monetary indicators**
In millions of dollars

	Mutual Savings Banks						Savings and Loan Associations		
	Loans		Securities			Deposits			
	Mortgage	Other	US Govt.	State and Local Govt.	Corporate and Other		Mortgage	US Govt. Securities	Savings Capital
1960	26 702	416	6 243	672	5 076	36 343	60 070	4 595	62 142
1961	28 902	475	6 160	677	5 040	38 277	68 834	5 211	70 885
1962	32 056	602	6 107	527	5 177	41 336	78 770	5 563	80 236
1963	36 007	607	5 863	440	5 074	44 606	90 944	6 445	91 308
1964	40 328	739	5 791	391	5 099	48 849	101 333	6 966	101 887
1965	44 433	862	5 485	320	5 170	52 443	110 306	7 414	110 385
1966	47 193	1 078	4 764	251	5 719	55 006	114 427	7 762	113 969
1967	50 311	1 203	4 319	219	8 183	60 121	121 805	9 180	124 531
1968	53 286	1 407	3 834	194	10 180	64 507	130 782	9 531	131 620
1968: November	52 946	1 532	3 913	200	10 001	63 800	129 899	9 696	129 972
December	53 286	1 407	3 834	194	10 180	64 507	130 802	9 555	131 618
1969: January	53 579	1 426	3 962	195	10 298	64 747	131 424	9 944	131 527
February	53 807	1 559	3 989	190	10 429	65 087	132 095	10 143	132 123
March	54 005	1 562	3 990	194	10 649	65 759	133 012	10 160	133 502
April	54 209	1 519	3 900	199	10 721	65 573	134 038	9 892	132 986
May	54 442	1 713	3 821	197	10 800	65 888	135 026	9 892	133 480
June	54 672	1 633	3 618	192	11 029	66 243	136 242	9 467	134 839
July	54 887	1 539	3 634	201	10 982	66 091	137 107	9 199	133 729
August	55 068	1 717	3 613	201	10 983	66 193	137 951	9 142	133 721
September	55 188	1 732	3 536	190	10 990	66 519	138 618	9 007	134 600
October	55 346	1 725	3 359	191	10 885	66 344	139 226	8 906	134 194
November	55 497	1 867	3 321	196	10 863	66 505	139 648	8 996	134 435

Source: **Federal Reserve Bulletin.**

Table E **Balance of payments OECD basis**
Millions of dollars

	1961	1962	1963	1964	1965	1966	1967	1968	1969 1st half seas. adj. ann. rates
Exports, fob	20 107	20 779	22 252	25 478	26 447	29 389	30 681	33 598	34 114
Imports, fob	14 519	16 218	17 011	18 647	21 496	25 463	26 821	32 972	34 326
Trade balance	5 588	4 561	5 241	6 831	4 951	3 926	3 860	626	–212
Services, net	33	586	741	1 818[1]	2 240[1]	1 354	1 315	1 955	1 544[1]
Balance on goods and services	5 621	5 147	5 982	8 649	7 191	5 280	5 176	2 581	1 332
Private transfers, net	–397	–450	–536	–530	–581	–936	–755	–753	–714
Official transfers, net	–2 088	–2 164	–2 179	–2 167	–2 177	–2 277	–2 243	–2 112	–2 074
Current balance	3 136	2 536	3 269	5 953	4 434	2 446	2 179	–284	–1 456
Long-term capital (ex. spec. trans.)	–3 716	–4 243	–5 301	–6 034	–6 193	–5 094	–5 319	–1 323	–3 250
(*a*) Direct US investment abroad	–1 598	–1 654	–1 976	–2 328	–3 468	–3 639	–3 154	–3 026	–3 970
(*b*) New foreign issues in the US	–523	–1 076	–1 250	–1 063	–1 206	–1 210	–1 619	–1 659	–1 584
(*c*) New US issues abroad						594	446	2 129	1 102
(*d*) Foreign purchases of US securities[2]	324	134	282	–84	128	121	842	2 113	2 036
(*e*) Government capital, net	–1 540	–1 631	–1 891	–1 476[3]	–1 860[3]	–2 180	–2 511	–2 449	–2 278[3]
(*f*) Other, net[4]	–379	–16	–466	–1 083	213[5]	1 220[5]	670[5]	1 569	1 444
Basic balance	–580	–1 707	–2 032	–81	–1 759	–2 648	–3 140	–1 607	–4 706
Non-monetary short-term private capital	–255	–334	–27	–510	577	–35	20	–210	–236
Non-monetary short-term official capital	4	470	334	246	146	322	71	–105	–28
Errors and omissions	–1 103	–1 246	–509	–1 118	–576	–489	–1 007	–641	–4 696
Balance on non-monetary transactions	–1 934	–2 817	–2 234	–1 463	–1 612	–2 850	–4 056	–2 563	–9 666
Private monetary institution short-term assets	–1 125	–324	–781	–1 524	325	–84	–730	–89	–1 168
Liquid liabilities to non-official holders	672	7	866	1 821	458	2 902	1 661	3 749	15 200
Liquid liabilities to non-monetary international organizations	407	212	–193	–179	–71	–86	90	235	288
Balance on official settlements	–1 980	–2 922	–2 342	–1 345	–900	–118	–3 035	1 333	4 654
Liabilities to national monetary authorities	714	677	1 514	1 236	37	–766	2 837	–371	–4 028
IMF[6]	–135	626	29	266	–60	714	–72	–873	–522
Special transactions[7]	695	680	344	–18[8]	–424[8]	376	–375	305	–40[8 9]
Liabilities to other official institutions	–33	31	107	–45	33	–235	498	–384	110
Change in reserves (+ = increase)	–741	–907	–348	95	–1 316	–31	–146	10	176
(*a*) Gold	–857	–890	–461	–125	–1 665	–571	–1 170	–1 173	522
(*b*) Convertible foreign exchange	116	–17	113	220	349	540	1 024	1 183	–346

1 Includes debt obligations payable by the UK but waived.
2 Other than Treasury issues.
3 Includes debit obligations payable by the UK but waived ($ 68 million in 1964 and 1965, $ 72 million in 1968).
4 Excludes changes in foreign long-term claims on US commercial banks and investments by international organisations in US Government agency bonds.
5 Excludes liquification of UK Government portfolio (estimated at $ 500 million for 1965, $ 50 million for 1966 and $ 400 million for 1967).
6 Includes gold deposits by the IMF.
7 Debt prepayments received and Eximbank portfolio participation sales.
8 Includes waiver to UK. See notes 1 and 3.
9 Includes "Roosa Bond" sold to German Commercial Banks ($ 125 million).

Sources: Survey of Current Business, quarterly balance of payments articles and tables. Federal Reserve Bulletin.

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